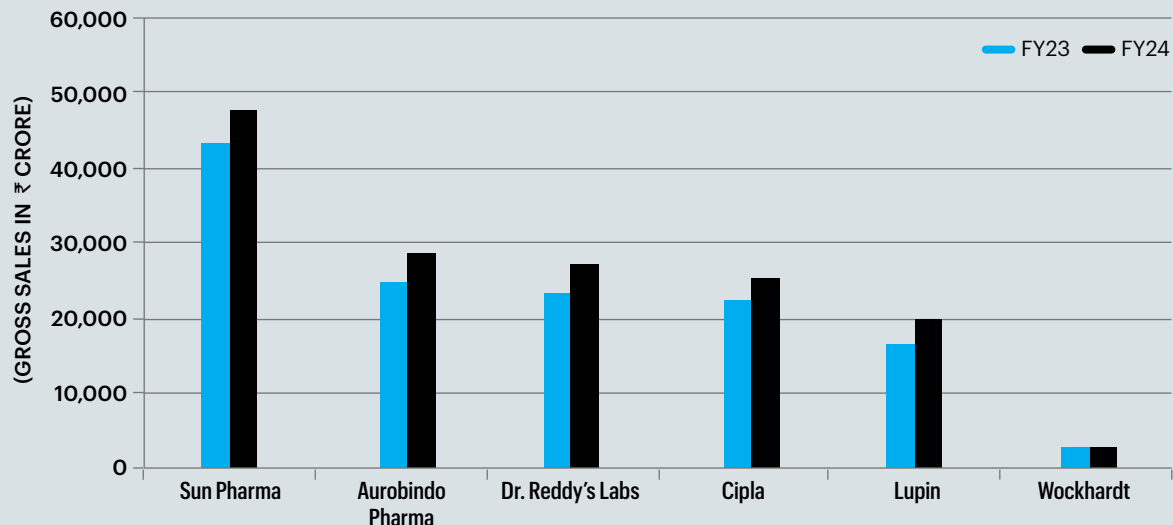


## TRAILING ITS PEERS

► Wockhardt's gross sales at ₹2,798 crore in FY24 trail far behind the leader Sun Pharma's ₹47,758 crore



FIGURES (IN ₹ CRORE) ARE ON A CONSOLIDATED BASIS **SOURCE** ACE EQUITY

at an 80-85% discount to western markets.

Plus, the company has six new chemical entities (NCEs) with Qualified Infectious Disease Product (QIDP) status from US FDA, he says. An NCE is a novel active ingredient not previously approved globally.

Khorakiwala's strategy is to stay in a limited market with a direct focus on his strengths. In the biologics and drug discovery sector, the global market is set to grow from \$511.04 billion in 2024 to \$1.37 trillion by 2033, at a CAGR of 10.4%, per MarkNtel Advisors, a consulting, data analytics, and market research firm.

The company's pipeline includes several biologics focussed on diabetes, which are aligned with a global surge in demand and offer significant growth potential. Rapid-acting insulin analogues are being

developed to improve blood sugar control in individuals with diabetes. Plus, a medication is in the development stage to be used to treat Type 2 diabetes and aid in weight loss.

Darbepoetin injections for treating anaemia have completed pre-clinical studies, with clinical studies set to begin in FY25.

With a novel antibiotic pipeline on the verge of commercialisation, Wockhardt stands a fair chance of turning its business around, says Manchanda of Systematix. "[Zaynich] is the most interesting asset in the Wockhardt antibiotic NCE pipeline. It presents a global opportunity, and the clinical evidence so far is very impressive," says Manchanda.

Rajesh Pherwani, Founder of Valcreate Investment Managers LLP, an investment management firm, says Wockhardt needs to do two things. "They need to... find an out-

licensing partner for their drugs in R&D and find a marketing partner for their biologics in the EU and the US," he says. "The company's research has been promising over the years, but it has not been able to deliver in line with the work."

### SHOT IN THE ARM

Wockhardt is also making progress in the vaccine market through its collaboration with the Serum Institute of India (SII), the world's largest vaccine maker. The global vaccine market was valued at \$61.6 billion in 2022 and is projected to grow to around \$151 billion by 2031, at a CAGR of about 10.5%, per the 'Global Vaccine Market Report and Forecast 2023-2031' by Expert Market Research.

Under a profit-sharing arrangement, Wockhardt and SII are set to produce up to 150 million vaccine doses annually. This is an expan-